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Title 26 — Internal Revenue

Chapter I — Internal Revenue Service, Department of the Treasury

Subchapter A — Income Tax

Part 4 — Temporary Income Tax Regulations Under Section 954 of the Internal Revenue Code

Authority: 26 U.S.C. 7805. Section 4.954-0 also issued under 26 U.S.C. 954 (b) and (c). Section 4.954-1 also issued under 26 U.S.C. 954 (b) and (c). See *Part 4* for more

§ 4.954-0 Introduction.

(a) *Effective date.*

- (1) The provisions of §§ 4.954-1 and 4.954-2 apply to taxable years of a controlled foreign corporation beginning after December 31, 1986. Consequently, any gain or loss (including foreign currency gain or loss as defined in section 988(b)) recognized during such taxable years of a controlled foreign corporation is subject to these provisions. For further guidance, see § 1.954-0(a) of this chapter.
- (2) The provisions of §§ 1.954A-1 and 1.954A-2 apply to taxable years of a controlled foreign corporation beginning before January 1, 1987. All references therein to sections of the Code are to the Internal Revenue Code of 1954 prior to the amendments made by the Tax Reform Act of 1986.

(b) *Outline of regulation provisions for sections 954(b)(3), 954(b)(4), 954(b)(5) and 954(c) for taxable years of a controlled foreign corporation beginning after December 31, 1986.*

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